

Marlow & Finch

Omnichannel Home & Lifestyle Products Retailer

Findings & Recommendations

This part covers my answers to the guiding questions I listed earlier, based only on the numbers given in the client brief. I have not received the actual transaction level data (POS, e-commerce, wholesale, inventory files) yet, so this is not the final root cause, this is what the numbers are pointing towards right now. After each question I have written what I found and what I would suggest. Wherever I need more data to confirm something, I have mentioned that too.

1. Which Channel Is Contributing Most to Revenue Decline

Retail Revenue: -11.7% YoY (-\$3.70M)

Wholesale Revenue: -17.0% YoY (-\$1.60M)

DTC Revenue: +8.8% YoY (+\$1.60M)

If we go by percentage, Wholesale looks worse at -17%. But in actual dollar terms Retail lost close to \$3.7M which is more than double of what Wholesale lost. So Retail is the channel actually costing the company more money, and should be looked at first.

Suggestion: Prioritize Retail store investigation first since it has the biggest dollar impact on total revenue, then move to Wholesale.

2. Is Retail Decline Mainly Traffic, Conversion or Ticket Size

- Store traffic dropped 14.3% (Q4 FY24 to Q4 FY25) — biggest drop of the three.
- Conversion rate dropped from 26.4% to 24.1%.
- Average ticket dropped from \$71 to \$68 — smallest drop of the three.

Traffic is clearly the biggest factor here. But conversion has also gone down, which means it's not only about fewer people walking in — the people who do come in are also buying less often compared to before. This could be because of stock not being available, or something related to in-store experience.

Suggestion: Check store-level stockout data against conversion trend to see if unavailable stock is why customers who visit are not buying.

3. Is Wholesale Decline Because of Fewer Accounts or Lower Orders

The brief does not break down the 17% Wholesale decline by account. Right now there is no way to know if this is a few large accounts leaving, or many small accounts slowly ordering less. This is one of the biggest gaps in the current data.

Suggestion: Request account-level sell-in data first for Wholesale — this is needed before anything else can be concluded about this channel.

4. Is DTC Growth Reducing Retail Sales (Cannibalization)

DTC grew by around \$1.6M in the same period Retail lost \$3.7M. If DTC growth was the main reason for Retail's drop, both numbers should be closer to each other. But Retail's loss is more than double DTC's gain, so DTC growth alone does not explain most of the Retail decline. It could still be a small part of it.

Suggestion: Compare DTC growth and Retail decline in the same cities/trade areas to confirm this properly — cannot be ruled in or out with current data.

5. Which Categories Are Causing the Largest Margin Decline

Category	Revenue Share	YoY Growth	Gross Margin	Sell-Through
Kitchen	31%	-6%	48.2%	71%
Dining	18%	-9%	44.0%	58%
Textiles	16%	+4%	51.3%	76%
Décor	22%	-19%	39.5%	44%
Storage & Organization	13%	+11%	52.8%	82%

Décor has the lowest margin and lowest sell-through of all categories, and it's also the second largest category by revenue share (22%). Because of its size, its weak performance drags down the company average more than a smaller category would. Kitchen and Dining are also declining but their margins are still better than Décor's.

Suggestion: Décor should be the first category to dig into for margin decline since it's both underperforming and large enough to move the overall number.

6. Are Markdowns Caused by Aged Inventory, Promotions or Competitive Pricing

Markdown rate went from 23% to 31%, an 8 point jump. DTC has the best margin (54.6%) and is growing, while Retail (41.2%) and Wholesale (38.1%) have lower margins and are both shrinking. Normally if a high-margin channel grows and low-margin channels shrink, overall margin should improve, not fall. Since overall margin still dropped a lot, the channel mix is not the real problem here — the markdown rate increase is the bigger reason. This means the company is discounting more within each channel, and that's hurting margin more than the favourable mix shift is helping it.

Suggestion: Break down the 31% markdown rate by reason (aged stock clearance / regular promotions / matching competitor price) to find out which one is the biggest contributor.

7. Where Is Inventory Too High and Where Are Stockouts Happening

Décor has the most aged inventory and is also the weakest performing category — so money is stuck there. At the same time, Storage & Organization is the best performing category (+11% growth, 82% sell-through) but is running out of stock on its top 200 SKUs. So the company is not overbuying everything across the board, it's buying too much of a category that is not selling (Décor) and not enough of a category that is selling well (Storage & Organization).

Suggestion: This looks like an inventory allocation problem more than a general overbuying problem. Shift some open-to-buy budget from Décor to Storage & Organization and Textiles based on how well each is actually selling.

8. Which Stores Are Underperforming and What Do They Have in Common

11 of 42 stores are below four-wall profitability, up from 5 last year. The brief does not tell us which region or store format these stores belong to, so right now we can't say if there's a pattern (like all mall-based stores struggling, or one particular region).

Suggestion: Group the 11 underperforming stores by region and format (mall vs lifestyle center) once store-level data is available, to check if the problem is common to a type of store or spread randomly.

9. Why Is Décor Underperforming Compared to Other Categories

Décor is down 19% YoY with the lowest margin (39.5%) and lowest sell-through (44%) of all five categories, and it still holds a fairly large revenue share (22%). The brief also says the company doesn't compete on price and quality has not been an issue historically, so this points more towards Décor having the wrong product mix or pricing being off for what customers currently want in this category, rather than a quality problem.

Suggestion: Compare Décor pricing with competitor pricing and check which specific products in this category are aging the most before deciding if it's a demand issue or a selection issue.

10. Prioritized Root Causes (Based on Current Data)

- Markdown rate increase (23% → 31%) — biggest reason behind the margin drop.
- Retail store traffic decline — biggest reason behind the revenue drop, with conversion drop adding to it.
- Wrong inventory allocation between Décor and Storage & Organization — money stuck in the wrong category.
- Décor category weakness — because it's 22% of revenue, its problems pull down company-wide numbers.

11. Recommendations

For Merchandising & Buying

- Split the 31% markdown rate by reason code to find the biggest controllable driver.
- Move some open-to-buy budget from Décor to Storage & Organization and Textiles based on sell-through numbers.

Suggestion: Set an aging threshold per category — if stock crosses it, mark it down early instead of letting it sit for 180+ days.

For Store Operations

- Group the 11 underperforming stores by region/format to check for a common pattern.
- Compare stockout data against conversion rate for these stores to see if unavailable stock is affecting sales.

Suggestion: Don't treat traffic decline as the only reason — check if stores getting traffic actually have enough stock to convert visits into sales.

For Wholesale / Sales

Get account-level sell-in data to know if the decline is from a few large accounts or spread across many small ones.

Separate accounts that stopped ordering completely from accounts that are ordering less.

Suggestion: This channel has the least information in the current brief, so account-level data should be requested first before anything else.

12. Data Still Needed to Confirm These Findings

- Wholesale data broken down by account
- Store-level traffic and stockout data for all 42 stores (currently available for only 34)
- Markdown reason codes at SKU level
- A way to compare DTC growth against Retail decline in the same city/region
- Décor product-level pricing versus competitor pricing